Green Finance Taxonomy Origins and Adoption (Nepal Green Finance Taxonomy)

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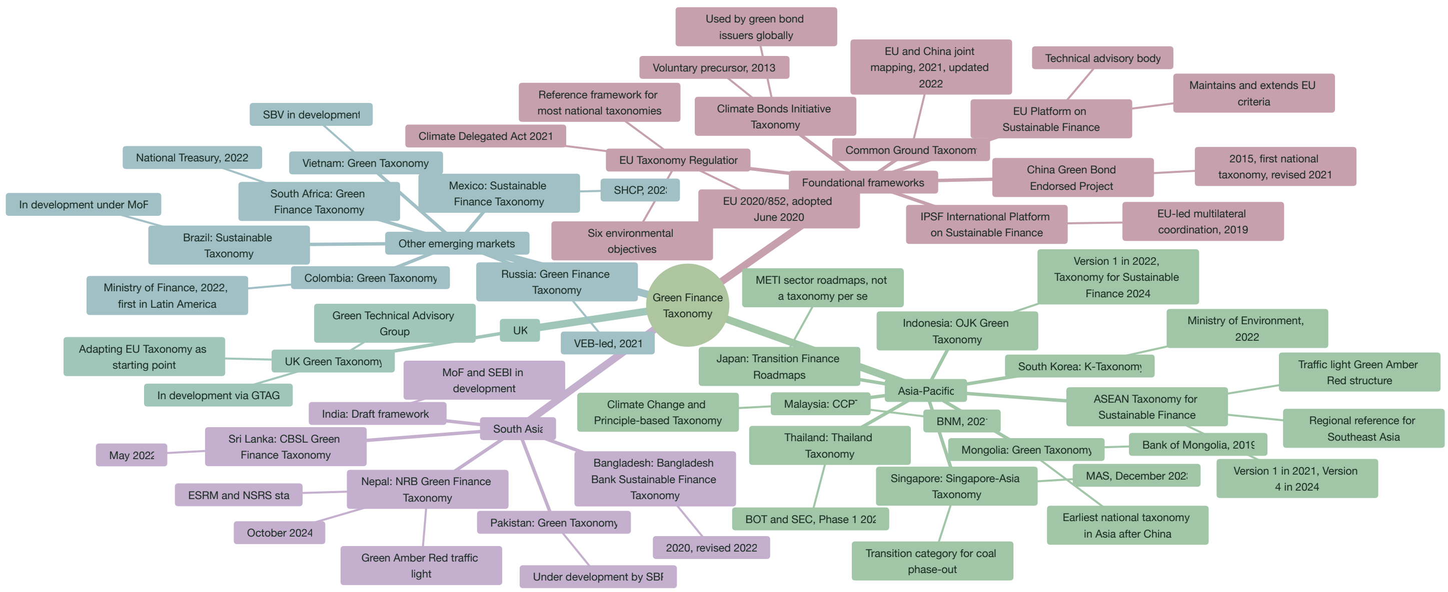
A view of how **Green Finance Taxonomies** originated as a regulatory tool to classify economic activities by environmental performance, anchored in the **EU Taxonomy Regulation (2020/852)** as the modern reference framework, with parallel and derivative national taxonomies across Asia-Pacific, South Asia, the UK, and other emerging markets.

For context: the EU Taxonomy Regulation, adopted in June 2020 and operationalized through the 2021 Climate Delegated Act, is the most comprehensive, science-based, legally binding green classification system globally. It has become the de facto reference framework that most national regulators consult, adapt, or align with when designing their own taxonomies. China's Green Bond Endorsed Project Catalogue (2015) predates the EU framework and remains influential in Asia, but the EU Taxonomy is the structural anchor for the global proliferation of taxonomies from 2020 onward. Nepal Rastra Bank's Green Finance Taxonomy (October 2024) sits in the second wave of taxonomy adopters and uses a Green / Amber / Red traffic-light structure consistent with ASEAN Taxonomy influence.

Origins and Adoption by Region



Reading Notes

Acronym key

Acronym	Full Name
ASEAN	Association of Southeast Asian Nations
BNM	Bank Negara Malaysia
BOT	Bank of Thailand
CBI	Climate Bonds Initiative
CBSL	Central Bank of Sri Lanka
CCPT	Climate Change and Principle-based Taxonomy (Malaysia)
CGT	Common Ground Taxonomy (EU and China)
EU	European Union
GTAG	Green Technical Advisory Group (UK)
IPSF	International Platform on Sustainable Finance

Acronym	Full Name
MAS	Monetary Authority of Singapore
METI	Ministry of Economy, Trade and Industry (Japan)
MoF	Ministry of Finance
NRB	Nepal Rastra Bank
NSRS	Nepalese Sustainability Reporting Standards
OJK	Otoritas Jasa Keuangan (Indonesia financial services authority)
SBP	State Bank of Pakistan
SBV	State Bank of Vietnam
SEBI	Securities and Exchange Board of India
SEC	Securities and Exchange Commission (Thailand context)
SHCP	Secretaría de Hacienda y Crédito Público (Mexico finance ministry)
VEB	Vnesheconombank (Russia state development bank)

Three patterns of adoption

1. EU as the reference framework. The EU Taxonomy Regulation (2020/852) established the most comprehensive science-based green classification globally: six environmental objectives, technical screening criteria, do-no-significant-harm requirements, and minimum social safeguards. Although China's 2015 catalogue is older, the EU framework is what most second-wave national regulators consult, adapt, or partially align with when designing their own taxonomies. The UK is openly adapting the EU Taxonomy as its starting point through the Green Technical Advisory Group.

2. International coordination. The International Platform on Sustainable Finance (IPSF), launched by the EU in 2019, now includes 20+ jurisdictions and serves as the coordination forum for taxonomy interoperability. The Common Ground Taxonomy (CGT), a joint EU and China mapping exercise first published in 2021 and updated in 2022, demonstrates that even the two largest taxonomies can be cross-walked. ASEAN Taxonomy provides regional coordination for Southeast Asia and uses a traffic-light Green / Amber / Red structure that has influenced national taxonomies across the region, including Nepal's.

3. National adoption with local sectoral priorities. Each national taxonomy reflects local economic structure. Indonesia and Malaysia include palm oil considerations. Mongolia emphasizes mining transition. Singapore-Asia explicitly addresses coal phase-out through a "transition" category. Nepal's Green Finance Taxonomy (October 2024) uses Green / Amber / Red traffic-light classification, suggesting ASEAN influence, and focuses on the sectors most relevant to the Nepal economy: hydropower, agriculture, manufacturing, transport, and real estate.

What is intentionally absent

- **US framework:** The US does not have a federal green taxonomy. Voluntary frameworks (SASB, CBI Taxonomy) and state-level disclosure rules (California SB-253 / SB-261) operate in lieu of a national taxonomy. Out of scope for this map.
- **Corporate ESG ratings (MSCI, Sustainalytics, ISS):** These are private-sector rating products, not regulatory taxonomies. Distinct category.
- **Voluntary green bond standards (ICMA Green Bond Principles, CBI Certification):** These are issuance standards that often reference taxonomies but are not themselves national classification frameworks.
- **ESRM and ISSB / NSRS frameworks:** Covered in the separate ESRM Origins and ISSB Adoption documents. Taxonomies, ESRM, and sustainability disclosure are three distinct regulatory categories that interact but should not be conflated.

Where Nepal sits

Nepal's NRB Green Finance Taxonomy (October 2024) is part of the second wave of national taxonomies. Structurally it resembles ASEAN Taxonomy and Bangladesh Bank's 2020 framework more closely than the EU Taxonomy, using a simpler traffic-light Green / Amber / Red classification rather than the EU's full technical screening criteria with do-no-significant-harm tests. This is consistent with the pattern observed across South Asian central banks, which favor implementable, examinable frameworks over the EU's more elaborate criteria-based system.

Sources and caveats

This is a simplified view as of mid-2026. Taxonomy effective dates, sector scope, and the boundary between "Green," "Amber," and "Red" categories evolve continuously. Verify with the jurisdiction's central bank, ministry of finance, or financial regulator before citing for official purposes. The IPSF jurisdictional working groups and the IFRS Foundation jurisdictional profile pages are useful starting points for current cross-jurisdictional taxonomy status. Climate Bonds Initiative maintains a public tracker of national taxonomies that is updated annually.

General regulatory reference.